

ECONOMY

LECTURES



PHYSICAL CAPITAL & HUMAN CAPITAL

MODULE - 4

THREE SECTORS OF ECONOMY



PRIMARY



SECONDARY



TERTIARY

EVOLUTION OF MODERN ECONOMIES

- 1** In the initial stages of development, substantial population will be dependent on agriculture
- 2** Subsequently, they migrate to industrial activities
- 3** As more and more industrialisation takes place, demand for more and more services will come up and hence, services sector will grow and serve the population engaged mostly in industrial sector
- 4** As industrial as well as services sector grows, then the population dependent on agriculture normally comes down and in most of the advanced economies, the population dependent on agriculture are less than 5 to 10%

But in India, two aspects defy conventional development models. Most of the shift directly took place from agriculture to services by skipping industrial sector and more than 50% are still dependent on agriculture

PROBLEMS FACED BY OUR AGRICULTURE SECTOR

- 1 Small land holdings ranging from one acre to two acres in most of the cases
- 2 Institutional finance is not available, that is why the small agriculture farmer is at the mercy of money lender. However, the situation improved substantially in recent times
- 3 Substantial portion of the land is cultivated by tenant farmers and the institutional frame work to make available loans is not up to the mark
- 4 Marketing of agriculture products is not satisfactory and middlemen are calling the shots in most of the cases
- 5 Food processing has not taken roots in our country to create value addition to the agriculture produce
- 6 The present day youth are not showing much inclination to take up agriculture on scientific lines

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TWO ASPECTS WHICH DIFFER FROM CONVENTIONAL MODELS



- 1 Majority of the shift took place from agriculture sector to services sector



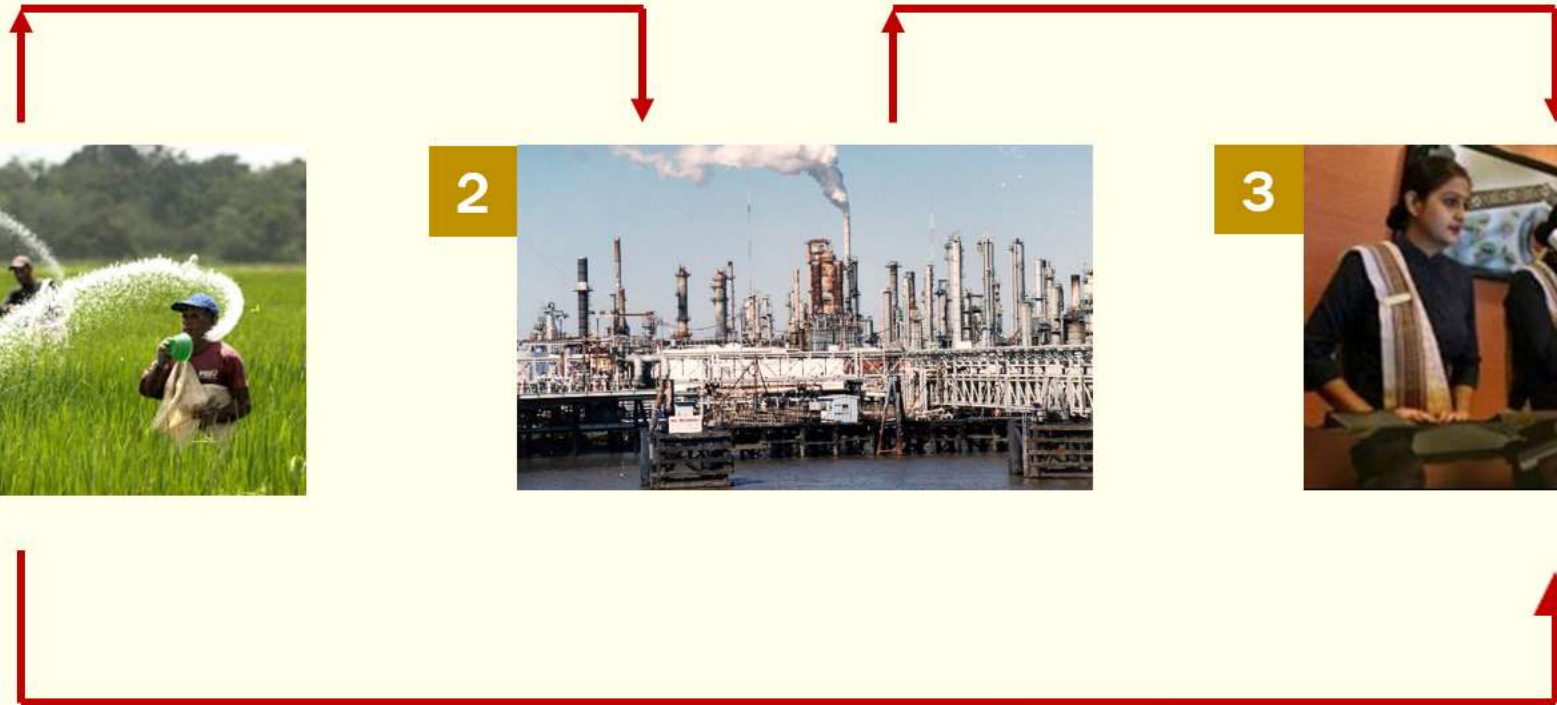
- 2 Even after 70 years of independence, 50% are still dependent on agriculture

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CONVENTIONAL MODEL



INDIAN MODEL



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SKEWED SCENARIO

50% of the people contribute to 15% of the GDP!

Hence, rural distress is clearly evident across the countryside

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INSTITUTIONAL / FORMAL FINANCE



SBI



Canara Bank

CANARA BANK



Cooperative
Bank



Rural
Bank

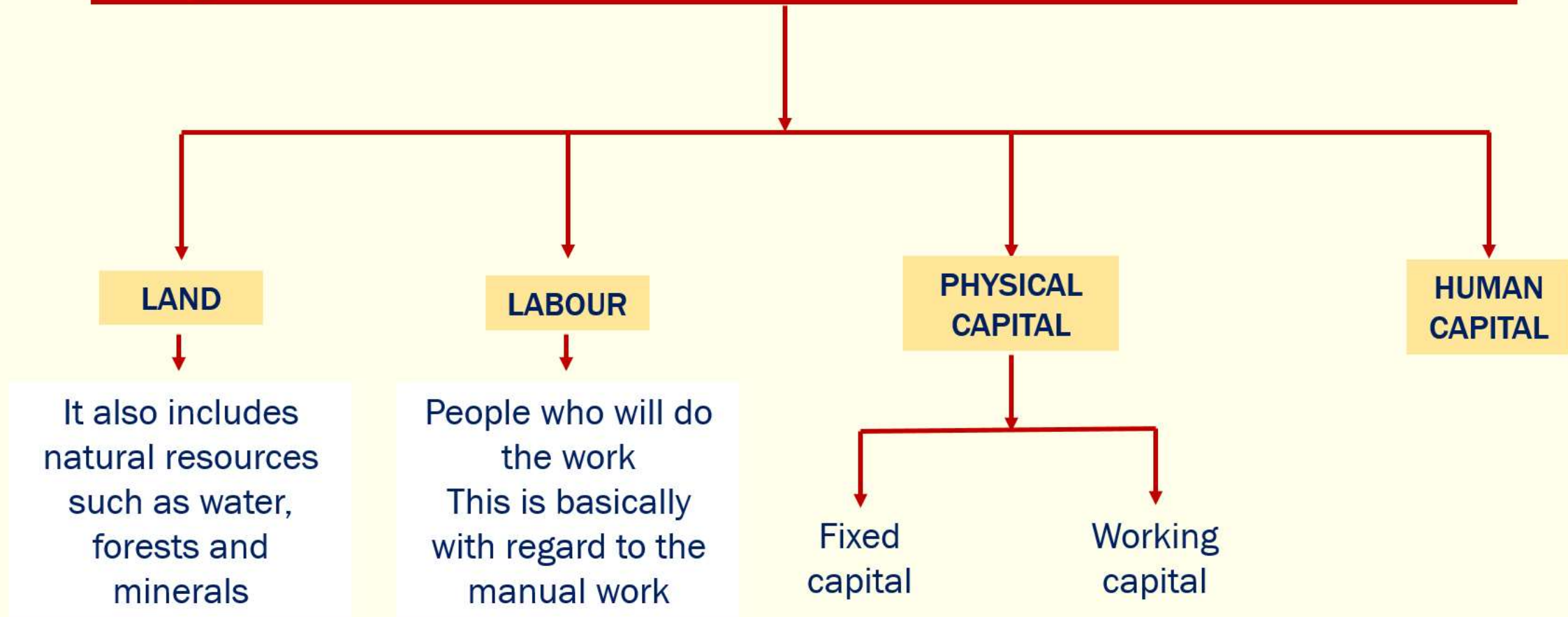
NON-INSTITUTIONAL/ INFORMAL FINANCE



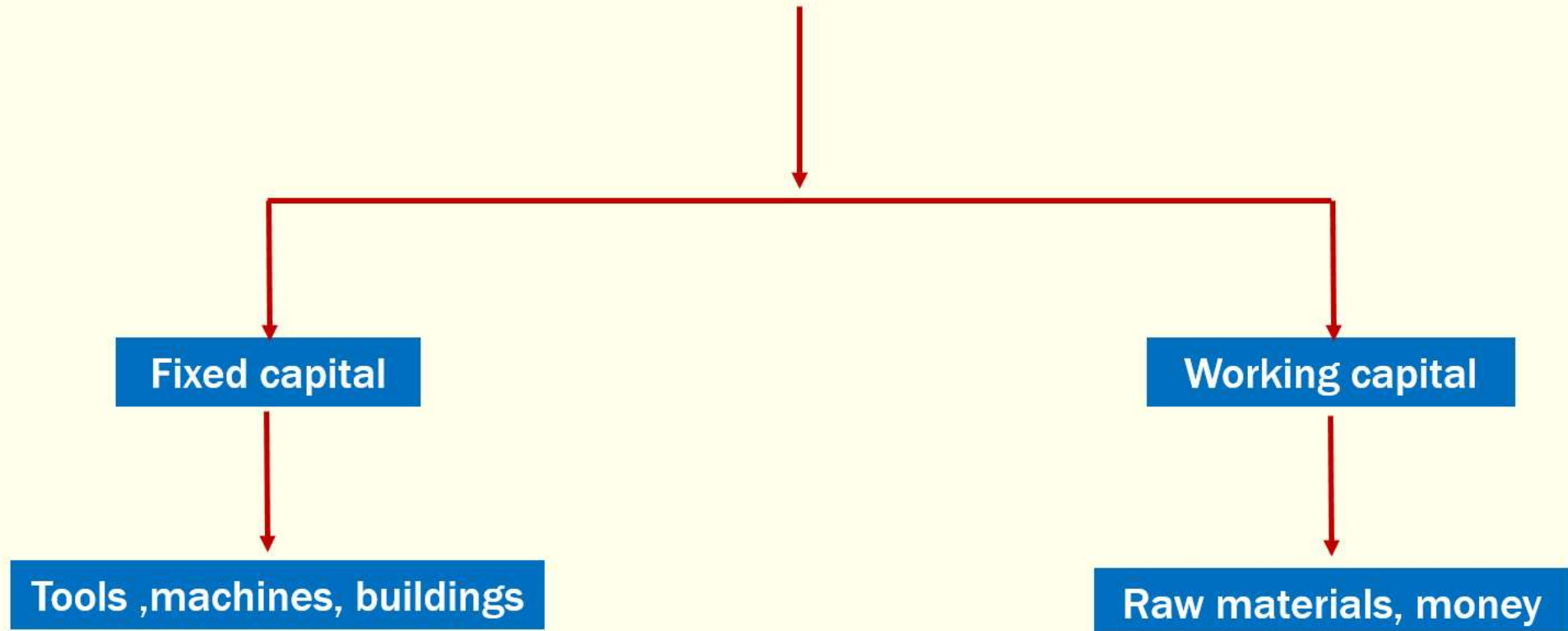
PROBLEMS FACED IN OUR AGRICULTURE SECTOR

- 7** Yield per hectare for most of the crops is not up to the mark and is not comparable with advanced economies, even though we have seen some successes due to green revolution of 1960s and 1970s
- 8** Overall agriculture sector is worst affected after globalisation because of less concentration of the government on agriculture sector
- 9** Even today more than 50% of the population is dependent on agriculture which contributes to around 15% of GDP
- 10** The migration is directly taking place from agriculture to services sector. This is the biggest drawback of our economy
- 11** Most of the migrants are living under squalid conditions in cities with low paid jobs in services

REQUIREMENTS FOR PRODUCTION OF GOODS AND SERVICES



PHYSICAL CAPITAL



PHYSICAL CAPITAL

Working capital

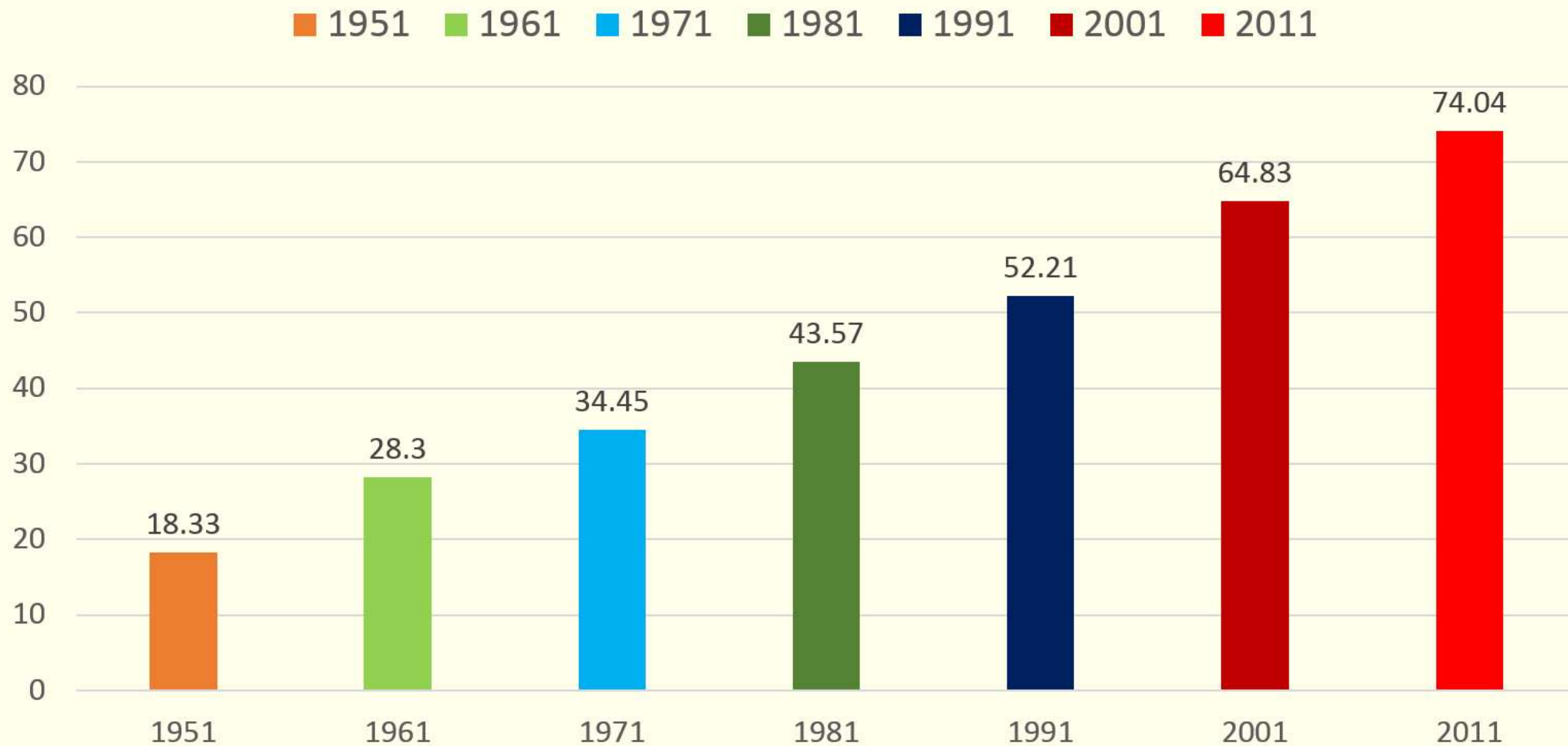


HUMAN CAPITAL

- 1** Human capital formation adds to the productive power of the country just like physical capital formation.
- 2** Investment in human capital through education, training, medical care yields excellent returns just like investment in physical capital.
- 3** This can be seen directly in the form of higher incomes earned because of higher productivity of the more educated or the better trained persons, as well as the higher productivity of healthier people.
- 4** Human capital is superior to other resources like land and physical capital.
- 5** Human capital can make use of land and physical capital but land and physical capital cannot become useful on its own.
- 6** At the time of independence, because of poor education as well as medical standards huge population of our country became a liability.
- 7** Efforts are being made by the Government of India with education/health care facilities to turn this liability into asset.
- 8** However, a lot more needs to be done when we compare the development in our country with advanced economies as well as some developing countries

1

EDUCATION



2

HEALTH

- 1 Health of a person helps him to realise his potential and ability to fight illness
- 2 An unhealthy person becomes a liability for an organisation / country
- 3 Improvement in the health status of the population must be the priority for any country
- 4 We made substantial progress as far as infant mortality rate, crude birth rates, crude death rates are concerned and a lot more needs to be done

3

SKILL DEVELOPMENT



- 1 This is the area where we could not achieve much success
- 2 In recent times, Government is giving more emphasis on skill development
- 3 Our vocational training system is abysmally poor
- 4 As far as skill development is concerned, we can say it is only the beginning and magnanimous task is ahead for our Government